

10 Other investment classes

6 primary questions | Oldest to newest

2026 objectives: 2.3.1-2.3.2

10 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2005 Q2	9 marks
CA1-P1 April 2006 Q6	10 marks
CA1-P1 September 2011 Q5	22 marks
CA1-P1 April 2015 Q4	11 marks
CA1-P1 April 2018 Q3	14 marks
CP1-P1 April 2019 Q7	16 marks

CA1-P1 | April 2005 | Q2

Current topic | 9 marks total | Original PDF p2

Related: Ch 14.

- 2** A scheme which provides benefits on retirement has 25% of its assets invested in overseas investments. A scheme member has asked why the fund has overseas investments when all the benefits are payable in the domestic currency.

(i) Discuss possible reasons for this strategy. [4]

(ii) List the problems which may be encountered when investing in overseas securities. [5]

[Total 9]

CA1-P1 | April 2006 | Q6

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** A fund that only invests in overseas equities is expanding the range of countries in its portfolio. It is considering including developing countries.
- (i) Discuss possible reasons for including developing countries in its portfolio. [3]
 - (ii) List the points it should consider before investing in a particular developing country. [5]
 - (iii) State, with an example, one additional factor that it needs to take into account when investing in small economies. [2]
- [Total 10]

CA1-P1 | September 2011 | Q5

Current topic | 22 marks total | Original PDF p3

Examiner report and original paper: use the links for this question in [index.html](#).

- 5 (i) Describe the different types of collective investment vehicles. [5]

An investor is comparing the performance of a unit trust to that of an investment trust, both of which invest in real property.

- (ii) Explain why the performance of the two trusts over the same time period may differ. [9]

A company issues securities known as “auction securities”:

- An auction security is a long-term conventional bond that is subject to an auction every three months.
- When the security is issued, the issuing company specifies the term of the security (typically 5–10 years) and the maximum coupon rate.
- The purpose of the auction is to agree the coupon to be paid for the next three months, subject to the maximum coupon rate.
- The auction works by investors bidding a coupon rate they would be willing to receive on the security and the amount of stock they would accept.
- The agreed coupon rate is the lowest rate needed to fully allocate the security, and the security is then allocated to investors who bid at that rate (or lower).
- If existing holders of the security had bid higher than the agreed coupon rate (and so are not allocated stock), then their capital is repaid at par value by the new investors who bid lower and have been allocated stock.
- If there are not sufficient investors to fully allocate the security, then the existing holders will continue to hold the security and will receive the specified maximum coupon rate.
- New investors wishing to buy the security will bid for a low coupon, and existing investors who want to sell the security will bid for a high coupon.
- Security-holders can sell stock at any time, provided they can find a buyer.

- (iii) Describe the principal investment characteristics and risks of the auction securities, for both the company and investors. [8]

[Total 22]

CA1-P1 | April 2015 | Q4

Current topic | 11 marks total | Original PDF p3

Related: Ch 30.

- 4** Space Tourism plc has been developing a space travel programme for members of the public. It will have large operational costs, and fuel will be a high proportion of these costs. In recent years the cost of fuel has increased and the volatility of the fuel price has also increased. To protect against these rising fuel prices and volatility, Space Tourism has bought fuel price futures.
- (i) Explain why Space Tourism has bought these futures. [2]
 - (ii) Discuss the reasons why futures may not be fully effective in meeting Space Tourism's objectives. [3]
 - (iii) Outline how the futures exchange could manage its risk exposure. [6]
- [Total 11]

CA1-P1 | April 2018 | Q3

Current topic | 14 marks total | Original PDF p3

Related: Ch 28.

- 3** (i) Describe methods of quantifying the risk of investing in any asset. [2]

A large insurance company has long term mostly illiquid liabilities. To achieve a higher expected return on its investments it is investigating investing in infrastructure assets. Infrastructure investments include both funding the construction of physical assets and operating these assets.

- (ii) Outline the risk characteristics of an infrastructure investments. [2]

- (iii) Discuss the main features of the behaviour of market price levels and total returns for infrastructure investments. [10]
[Total 14]

CP1-P1 | April 2019 | Q7

Current topic | 16 marks total | Original PDF p3

Related: Ch 14, Ch 8.

- 7** A retirement benefits scheme in Country A ('the Scheme') currently has all of its funds invested in domestic, as opposed to overseas, assets. The Scheme's managers are reviewing the fixed interest bonds currently held. They propose to invest a portion of the Scheme's assets in government bonds issued in Country B, which currently have a lower redemption yield than comparable bonds of Country A.

- (i) Suggest possible reasons for the Scheme managers' proposal. [4]
- (ii) Discuss factors which the Scheme's managers would need to take into account if the proposal were to be accepted. [5]

The Scheme's managers decide, instead, to switch all of the Scheme's government bonds (still of Country A) into recently issued corporate bonds from the retail sector of Country A.

- (iii) Explain possible reasons for this decision. [3]
- (iv) Discuss the risk characteristics of retail sector corporate bonds. [4]

[Total 16]